



Logic Technologies - Ace Communication Distributors

MN-95021

Phase 1 Determination

Acquisition may be put into effect

2 July 2026

1. Determination

Notified acquisition	Logic Technologies Pty Ltd (Logic) proposes to acquire 100% of the shares in Ace Communication Distributors Pty Ltd (Ace) (the Acquisition).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	The acquirer, Logic, is a wholesale distributor of certain communication equipment, operating across Australia and New Zealand. Logic supplies two-way radio infrastructure and terminals, push-to-talk over cellular devices, dispatch software, video security systems and audio accessories. The target, Ace, is an Australian wholesale distributor of wireless communication technologies, including two-way radio products, push-to-talk over cellular devices and body worn cameras. Ace also provides services in design, consulting, radio licensing, software support and product training.
Reasons for determination	The reasons for the ACCC's determination are set out in section 2.

2. Statement of reasons

- 2.1. When making a determination in Phase 1, the Australian Competition and Consumer Commission (**ACCC**) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the *Competition and Consumer Act 2010* (Cth) (the **Act**). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers.
- 2.2. For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's [merger assessment guidelines](#) and [interim merger process guidelines](#).

Overlap and relationship between the parties

- 2.3. Logic and Ace (the **Parties**) overlap in the wholesale distribution of certain communications equipment in Australia, including two-way radio and push-to-talk over cellular products (together, **Critical Communication Products**). This includes handsets, accessories (headphones, microphones, chargers and batteries) as well as infrastructure equipment (antennae, switches, repeaters, servers and related software). Logic and Ace are the only two distributors of Motorola Critical Communication Products in Australia but Ace also distributes other brands of Critical Communication Products.

- 2.4. Logic is vertically integrated in that its parent company, CSE Group Limited (**CSE Group**), operates reseller businesses¹ that acquire Critical Communication Products from Logic (and other distributors such as Ace) for re-supply to end users. CSE Group's related reseller businesses sell Critical Communication Products manufactured by various brands, including Motorola, Tait, Kenwood and Hytera.

Industry background

- 2.5. Original Equipment Manufacturers (**OEMs**) such as Motorola Solutions Inc (**Motorola**) design and manufacture critical communication products, such as two-way radios, and push-to-talk over cellular products.
- Two-way radios are communication devices that can both transmit and receive radio waves, allowing individuals to talk bidirectionally. Two-way radios may be handheld or installed in vehicles. For radios to operate, they must be supported by a radio network or infrastructure hosted on towers or buildings to project the frequency across a wide area that the radios can connect to.
 - Push-to-talk over cellular products are communication devices that leverage cellular networks and Wi-Fi for wide area radio communication. They do not require a radio network or infrastructure as they operate via the existing cellular 4G/5G/Long-Term Evolution (LTE) technology and Wi-Fi networks.
- 2.6. Distributors, such as Logic and Ace, purchase bulk Critical Communication Products from the OEMs and hold stock to provide timely delivery to authorised resellers. Resellers either purchase products directly from the OEMs or through distributors and then sell to end users.

Competition assessment

- 2.7. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the continuation of the current state of competition (being the likely future state of competition if the Acquisition does not proceed).
- 2.8. The ACCC has considered whether the Acquisition is likely to substantially lessen competition by:
- substantially reducing competitive constraint which would enable the merged entity to increase prices of Motorola Critical Communication Products, by reducing the discount premiums that would otherwise be provided to resellers of these products,
 - providing the merged entity with the ability and incentive to foreclose rival Critical Communication Product resellers' access to Motorola Critical Communication Products by delaying supply and limiting price discounts to rival resellers, and/or
 - providing the merged entity with access to competitively significant information about rival resellers, that it would not have, absent the Acquisition.
- 2.9. The ACCC's assessment regarding each of these points is discussed further below.

¹ CSE Crosscom, Gencom, Marcom Watson and Gambier Electronics

Relevant areas of competition

- 2.10. The ACCC has considered the effect of the Acquisition on competition in the supply of Critical Communication Products, being two-way radio and push-to-talk over cellular products in Australia, to resellers as well as to end customers. For the purposes of this assessment, it was not necessary to reach a definitive view on the precise product market, as it does not materially alter the ACCC's competition assessment.

Horizontal unilateral effects in the wholesale supply of Critical Communication Products in Australia

- 2.11. The ACCC considers that the Acquisition is unlikely to have the effect of substantially lessening competition in relation to the wholesale supply of Critical Communication Products to resellers in Australia by combining the only two wholesale suppliers of Motorola Critical Communication Products.
- 2.12. In reaching its decision, and based on the materials before it, the ACCC makes the following findings:
- (a) There are multiple suppliers of Critical Communication Products in Australia, with the products being differentiated, for example in functionality, support and service.
 - (b) The Parties are close competitors in the supply of Critical Communication Products, as they are the only two wholesale suppliers of Motorola Communications Products in Australia and the Acquisition would remove competition between them.
 - (c) There is some competition from distributors of other brands of Critical Communication Products.
 - (d) The merged entity would likely be constrained by timely and sufficient entry into the wholesale or retail supply of Motorola Critical Communication Products as Motorola would be able to sponsor new entry or enter itself. The ACCC considers that Motorola would have the ability and incentive to appoint additional distributors and/or, supply products directly in Australia itself if Logic were to substantially increase prices to resellers post-Acquisition.
- 2.13. The ACCC has had regard to feedback received from third parties regarding the impact of the Acquisition. Some submitted that the Acquisition would not impact competition as Motorola exercises a significant degree of control over the distribution of its Critical Communication Products in Australia and there is no commercial benefit from acquiring products from one distributor over the other.
- 2.14. However, other third parties emphasised the strong position of Motorola Critical Communication Products, the importance to resellers of access to those products on commercially acceptable terms for re-supply and concerns that independent resellers could be foreclosed as a result of Logic's increased vertical integration through its related reseller businesses.
- 2.15. Ultimately, having regard to the material before the ACCC as a whole, there was insufficient evidence to indicate that these factors are likely to have the effect of substantially lessening competition.

Non-horizontal effects – foreclosure of rival resellers in the supply of Critical Communications Products in Australia

- 2.16. The ACCC considers that the Acquisition is unlikely to result in the merged entity having the ability and incentive to foreclose rivals to CSE Group that resell Critical Communication Products by delaying, limiting or withholding supply or by raising prices of Motorola products to rival resellers, for example by limiting discounts. The ACCC considered this potential effect of the Acquisition in the downstream resale of Motorola Critical Communication Products based on feedback they are an essential product for downstream resellers.
- 2.17. Based on third party feedback and information provided by the Parties, the ACCC finds that the merged entity is unlikely to have the ability to fully or partly foreclose rivals to CSE Group. If Logic were to engage in input or customer foreclosure in a way that reduced sales of Motorola Critical Communication Products in Australia, the ACCC considers that Motorola would have the ability and incentive to pursue alternative means of distribution, including by appointing additional distributors and supplying products directly in Australia.
- 2.18. As the ACCC considers that the merged entity is unlikely to have the ability to foreclose rival Critical Communication Product resellers, it was not necessary to consider whether it would have the incentive to engage in such a strategy or whether it could have the effect of substantially lessening competition.

Non-horizontal effects – reduced competition arising from CSE Group accessing and using competitively significant information about rival resellers

- 2.19. The ACCC considers that the Acquisition is unlikely to have the effect of substantially lessening competition in the wholesale supply of Critical Communication Products in Australia as a result of CSE Group's access to and use of competitively significant information about rival resellers post-Acquisition through Ace's distribution arrangements with those resellers.
- 2.20. Based on information provided by the Parties and third parties, the ACCC understands that post-Acquisition, CSE Group via Logic could have access to additional information regarding resellers' Critical Communication Products sales, that it does not currently have access to.
- 2.21. The ACCC's view, based on the information received by the Parties and third parties, is that while some data that Logic (and therefore CSE Group), would receive post-Acquisition may provide insights relating to resellers' orders and sales volumes, subject to limited exceptions, the type of data that it may receive does not appear to be competitively significant such that it would undermine CSE Group's rivals' ability or incentives to compete effectively. This is because, based on the materials before it, the ACCC understands that this information is relatively general in nature, and does not generally include information such as reseller pricing, customers, bids or opportunities.
- 2.22. The ACCC is also aware that in limited circumstances, Logic could receive access to end user and opportunity information, that is likely to be competitively significant. However, the ACCC finds that if the merged entity were to use competitively

significant information about rival resellers to undermine rivals' ability or incentive to compete effectively, for the reasons set out at paragraph 2.17 above, Motorola has the ability and incentive to prevent this by pursuing alternative means of distribution, including appointing additional distributors and supplying products in Australia itself.

3. Applications for review

- 3.1. A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Determination made by a division of the Commission constituted by a direction issued pursuant to section 19 of the Act